

Product Disclosure Statement

Lady Ketchikan (NZ) Syndicate

Campaign: nellie

Version: 1.0.0

Effective Date: 2026-09-01

Key Information Summary

What is this?

This Product Disclosure Statement outlines a leasehold interest in Lady Ketchikan (NZ), a New Zealand thoroughbred. Lady Ketchikan (NZ) Syndicate makes fractional participation available to Members through its digital-syndication model. Full authority: the Commercial Model and Asset Specifics sections below and the Syndicate Agreement.

Who is this for?

Individuals seeking exposure to racehorse ownership in a structured, managed format — no prior ownership experience required.

How does it work?

You invest in a share of the syndicated leasehold interest in Lady Ketchikan (NZ). Your fixed-price payments cover the costs of the lease for the term, with no additional capital calls. Your returns are linked directly to the performance of the asset, where you receive 75% of gross stakes, generated from racing, proportional to your interest.

About the Asset

- **Asset Type:** Leasehold interest in a thoroughbred racehorse
- **Asset Name:** Lady Ketchikan (NZ) (Nellie)
- **Current Available Stake:** 2.5% syndicated share of total ownership
- **Minimum Investment:** 1.0%
- **Term:** 22 months (2026-09-01 → 2028-06-30)
- **Managed by:** Evolution Stables (Authorised Syndicator)
- **Governing Authority:** New Zealand Thoroughbred Racing (NZTR)

Returns

Investors receive 75% of gross stakes won during their eligible investment period. There are no guarantees, and you may not recover your original investment.

Costs

- \$76.00 per month per 1% stake, recurring monthly for the duration of the investment.

- A one-time upfront payment covers the deposit and initial payment.

Race Schedule Expectation

Nellie is in training. Members receive regular stable updates; race entries follow as fitness builds, with trial and target plans confirmed by the yard.

Risks

The horse may underperform, suffer injury, or be retired early. Early termination may result in a pro-rata refund. Limited liquidity — resale may not be immediate or available. You could lose the full amount of your investment. (See Section 12.)

How to Invest

Applications are made directly through Evolution Stables. Identity verification is required under AML/CFT laws. (See Section 17 — Investment Details.)

Manager

Evolution Stables is an NZTR-authorized syndicator specialising in digital syndication of leasehold interests in New Zealand thoroughbreds. (See About Evolution Stables below.)

About Evolution Stables

Evolution Stables is a New Zealand-based, NZTR-authorized syndicator offering structured, digitally-syndicated ownership of leasehold interests in New Zealand thoroughbreds.

We partner with leading owners and trainers to lease premium bloodstock, then make those opportunities available in fractional, fixed-term interests. This lowers the cost of entry and simplifies ownership, giving more people the chance to experience the sport from the inside.

Our approach blends the tradition, passion, and community of racing with modern technology and transparent processes — helping to build the next generation of owners.

§1. Title & Structure

This Product Disclosure Statement relates to the Lady Ketchikan (NZ) Syndicate, a digitally-syndicated thoroughbred ownership campaign managed by Evolution Stables, a registered Syndicate Manager under the New Zealand Thoroughbred Racing (NZTR) Rules of Racing and Syndication Code of Practice.

Participation is offered in the form of fractional leasehold stakes. Each stake is a percentage interest in the syndicated leasehold of the thoroughbred described in §2, from a minimum investment of 1.0%, with increments of 0.5% thereafter.

§2. Asset Specifics

§2.1 About Horse & Trainer

Lady Ketchikan (barn name Nellie) is a classic-framed 3YO filly by European Champion 3YO Almanzor out of the Danzero mare Night Danza. Foaled on 20 October 2023, she carries a deliberate balance of European classic staying scope and proven Australian sprint bloodlines. Her sire Almanzor captured three Group 1 titles across Europe before establishing himself in New Zealand with classic winners including Dynastic and Manzoice. Her dam brings the precocious speed of Golden Slipper winner Danzero. In active race preparation at Byerley Park, Nellie shows a deep heart girth, strong rein, and a fluid, ground-covering gallop that suits progressive middle-distance racing.

Nellie is prepared by Barbara Kennedy from her boutique stable at the Byerley Park training complex in Karaka. Barbara operates an individualized training model focused on progressive conditioning, patience, and matching each thoroughbred's developmental maturity to the right black-type pathway.

§2.2 Key Details

Attribute	Detail
Legal Name	Lady Ketchikan (NZ)
Barn Name	Nellie
Foaled	20 Oct 2023 (age 3)
Gender	Filly
Breeder	Mrs H G & W G Bax
Sire	Almanzor (FR)
Dam	Night Danza (AUS)
Microchip	985125000137408
Trainer	Lance O'Sullivan & Andrew Scott (Matamata, NZ)

§2.3 Racing Outlook & Pedigree

By European Champion 3YO Almanzor, sire of Group 1 Derby winners across New Zealand and Australia, out of Night Danza by Golden Slipper champion Danzero. Nellie's physical build and pedigree profile point to an initial racing campaign over sprint-miler journeys before stretching out over classic 3YO autumn distances (1600m to 2000m). Her developmental target is a spring preparation leading into the autumn 3YO fillies' series.

§2.4 Racing Expectation

Nellie is in training. Members receive regular stable updates; race entries follow as fitness builds, with trial and target plans confirmed by the yard.

§3. Commercial Model

This syndicate operates on a fixed rate of **\$76.00 per month per 1% stake**.

§4. Deposit & Billing

The digitally syndicated campaign operates on a five-month initial investment upon participation, with recurring monthly payments due on the 1st of every month thereafter.

The five-month initial investment follows a 3+2 structure outlined below:

- 3 months security deposit reserve; and
- 2 months keep (comprising the initial installment and 1 month in advance).

Upon formal termination or maturity of the syndicate lease, all unused prepaid keep and security deposit reserve funds are refunded pro-rata to the investor's verified payment method.

§5. Investor Return

Investors receive a distribution calculated strictly from official New Zealand Thoroughbred Racing (NZTR) gross stakes won during their eligible participation period:

5.1. **Stakes Calculation:** Based on official NZTR stakes distributions published via loveracing.nz. 5.2. **Stakes Allocation:** 75% Investor Pool / 25% Owner Retention of total gross stakes won is allocated to the Investor Pool (distributed pro-rata relative to stake held). 5.3. **Distribution Schedule:** Quarterly (2-month paid-up qualification prior to race date). 5.4. **Qualification Period:** Investors must have maintained fully paid-up status for two (2) full months prior to a race date to qualify for prize money distributions from that race.

§6. Exit & Termination

Rules for exit and termination are designed around three core pillars: creating accessible investment opportunities, maintaining commercial viability, and prioritizing the long-term care of the horse.

Lessor 14-Day Break: This syndicate operates under the Standard 14-Day Notice mechanism stipulated by the horse owner, matching the underlying Head Lease agreement. The lease may be terminated upon 14 calendar days' written notice when the underlying head lease concludes or the horse is retired. This process is triggered exclusively by the owner, not Evolution Stables.

Investor Notice & Wind-Down Period: An investor may give notice of exit prior to their next monthly installment date. Upon receiving notice, recurring monthly billing ceases, and the investor's 3+2 deposit structure serves as the active wind-down period until their participation concludes.

Default & Forfeiture: An investor enters default if a scheduled monthly payment is missed. Evolution Stables will notify the investor during the default period. If the outstanding balance is not rectified prior to the next billing cycle, the investment is deemed in default. The investor forfeits all future rights to prize money distributions

and their deposit, which is subsequently reallocated to the horse owner to secure the ongoing care and maintenance of the horse. Evolution Stables receives no material financial benefit from an investor default.

§7. Taxes

Investors are responsible for their own tax liabilities arising from any distributions or returns generated by their participation in this Syndicate. Evolution Stables does not provide tax advice. Participants should consult their own independent tax advisors regarding the implications of holding an interest and receiving racehorse distributions.

§8. Insurance

Evolution Stables has not secured mortality insurance for this leasehold stake. Because this is a fixed-term leasehold interest rather than an equity ownership stake, capital mortality insurance is not applicable. In the event of the horse's death or permanent retirement, the lease terminates automatically, and all unspent deposit funds are refunded pro-rata as outlined in Section 6.

§9. Valuation

No independent valuation of the horse's capital value has been undertaken for this offering. The pricing of the interests is based entirely on the wholesale operational cost of leasing the horse over the term, rather than the intrinsic capital value of the bloodstock.

§10. Veterinary Report

Lady Ketchikan (NZ) is an actively training thoroughbred. A general veterinary inspection is conducted prior to the commencement of the lease to ensure the horse is fit for racing purposes. However, investors acknowledge that racehorses are prone to injury and illness, and past fitness does not guarantee future soundness.

§11. Material Interests

Evolution Stables Ltd receives a 5.0% margin incorporated into the listed rate to cover the structuring, management, and regulatory oversight of the syndicate. Platform Fees of 3.0% cover payment processing and platform services. There are no other hidden fees or material conflicts of interest.

§12. Risk Disclosure

Participation in racehorse syndication is highly speculative and carries significant risks.

12.1. **Performance Risk:** The horse may not perform well, may not win prize money, and may not generate any revenue. 12.2. **Health Risk:** The horse may suffer injury, illness, or death, preventing it from racing. 12.3. **Liquidity Risk:** Your interest is a fixed-term leasehold. There is no guarantee of an active secondary market or that you will be able to sell your interest before the term ends. 12.4. **Capital Loss:** You may lose the entirety of your initial investment.

§13. Responsible Investment

Evolution Stables holds itself and its partners to the highest standards of care. Animal welfare remains central to all decisions made during the lease. All training, spelling, and veterinary decisions are made by licensed professionals. All post-racing arrangements are the responsibility of the horse's connections and are expected to comply with NZTR's welfare guidelines.

§14. Records & Financial Reporting

Evolution Stables will maintain a register of all Members. Financial updates, including prize money distributions and race reports, will be provided regularly. A final financial summary will be issued at the conclusion of the lease term.

§15. Complaints

Any complaints regarding the management of the Syndicate should be directed in the first instance to Evolution Stables. If the matter cannot be resolved, it may be escalated to New Zealand Thoroughbred Racing (NZTR) in accordance with the Rules of Racing.

§16. Transfer of Interest

Interests may only be transferred subject to the written consent of the Syndicate Manager and NZTR compliance requirements. Evolution Stables does not guarantee a secondary market.

§17. Investment Details

I hereby apply for the following interest in the Lady Ketchikan (NZ) Syndicate:

17.1. **Stake Percentage:** [not filled in yet] 17.2. **Initial Payment:** \$380.00 per 1% stake 17.3. **Monthly Commitment:** \$76.00 per month per 1% stake

§18. Investor Declaration

By signing this Application Form, on [not filled in yet] I acknowledge and agree that:

1. I have received, read, and understood the Product Disclosure Statement (PDS) and the Syndicate Agreement for the Lady Ketchikan (NZ) Syndicate.

2. I agree to be bound by the terms of the Syndicate Agreement, the PDS, and the Rules of Racing administered by NZTR.
3. I understand that my participation is strictly as a leaseholder and confers no ownership rights in the horse.
4. I understand the risks set out in the PDS, including that I may not recover my original investment.
5. I consent to my details being provided to NZTR and Evolution Stables for compliance with AML/CFT, registration, and regulatory purposes.

Name: [not filled in yet]

Signed: [not filled in yet]

Date: [not filled in yet]

§19. Promoter Declaration

I, Alex Baddeley, as the promoter of this syndicate, declare that the information provided in this Product Disclosure Statement is, to the best of my knowledge, true and correct, and that I am not aware of any information that would make this statement misleading in any material respect.

Signed: Alex Baddeley

Director, Evolution Stables Ltd

**8 Huia Street, Auckland, New Zealand

This PDS must be read together with the Syndicate Agreement.